

FEDERAL MARITIME COMMISSION
800 North Capitol Street, N.W.
Washington, D.C. 20573

WEDNESDAY, DECEMBER 4, 2024
12:59 PM. - 2:22 P.M.

ORAL ARGUMENTS
DOCKET NO. 22-12

INTERNATIONAL LONGSHOREMEN'S ASSOCIATION (ILA)

vs.

GATEWAY TERMINALS, LLC; CHARLESTON STEVEDORING COMPANY,
LLC; PORTS AMERICA FLORIDA, INC.; CERES MARINE TERMINALS,
INC.; AND SSA ATLANTIC, LLC

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APPEARANCES:

FEDERAL MARITIME COMMISSION MEMBERS PRESENT:

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Louis E. Sola, Commissioner
Rebecca F. Dye, Commissioner
Max M. Vekich, Commissioner

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C O N T E N T S

P a g e

ORAL ARGUMENTS

BY MR. SHERIDAN

5

BY MR. THOMAS

22

BY MR. SHERIDAN

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1 P R O C E E D I N G S

2 (12:59 p.m.)

3 CHAIRMAN MAFFEI: The Commission will come to
4 order. The Federal Maritime Commission is meeting today
5 for the oral argument in Docket No. 22-12, International
6 Longshoremen's Association vs. Gateway Terminals, LLC;
7 Charleston Stevedoring Company, LLC; Ports America Florida,
8 Inc.; Ceres Marine Terminals, Inc.; and SSA Atlantic, LLC.

9 Before we begin, the secretary will provide an
10 overview of the timing system for the counsels. Mr.
11 Secretary?

12 MR. ENG: Good afternoon, Mr. Chairman,
13 Commissioners, Counsels. The clock system is set based on
14 the time the respective parties have requested for opening
15 argument, response, and rebuttal. Complainant has
16 requested 20 minutes for opening argument. Respondents
17 then have 30 minutes. Following that, Complainant has ten
18 minutes for rebuttal. When you begin your statement, the
19 green light will turn on. When you have two minutes left,
20 the yellow light will come on. When you are out of time,
21 the red light will come on.

22 CHAIRMAN MAFFEI: Thank you, Mr. Secretary.

23 Before getting underway, I just want to give a
24 special thanks to John P. Sheridan and your team and
25 Matthew Thomas and your team. Oral arguments aren't the

1 most common thing that we do, but we very, very much
2 appreciate both of your work on this case and how important
3 it is to have good counsel. So I want to thank you for
4 that.

5 We will start first, of course -- arguing on
6 behalf of the Complainant is Mr. Sheridan. Mr. Sheridan,
7 you have 30 minutes, but I understand that you've reserved
8 ten minutes of that 30 for rebuttal.

9 MR. SHERIDAN: That's correct, Mr. Chairman.

10 CHAIRMAN MAFFEI: We'll set the timer at 20.

11 MR. SHERIDAN: Thank you.

12 CHAIRMAN MAFFEI: Please proceed.

13 MR. SHERIDAN: Good afternoon. Good afternoon.
14 I want to again thank the Commission for giving me the
15 opportunity to explain the ILA's position in this matter,
16 and I appreciate that courtesy. And you've given me plenty
17 of time to do that, so I'm going to try to set up the
18 situation from the beginning. It in some ways goes back to
19 2019 when the various individual operators or Stevedoring
20 companies decided to move forward with a proposed joint
21 venture. At that point in time, they had discussed and
22 presented to the Commission a proposal for a joint venture
23 that would cover both the ports of Charleston and Savannah.
24 And that joint venture was going to join all the operations
25 at the various terminals in those two ports under one sort

1 of entity.

2 At that time, when the Respondents -- the
3 individual Respondents, not the joint venture Respondents,
4 presented that to the Commission, they took the very strong
5 position that they were subject to this Commission's
6 jurisdiction due to the unique nature of their role in the
7 two ports in Charleston and Savannah.

8 They argued very strongly in their documents and
9 their submissions to the Commission that they had a control
10 over terminal facilities that put them within the ambit of
11 the Commission's jurisdiction, that they were therefore
12 marine terminal operators in addition to the actual Port
13 Authority Marine Terminal operators in two ports. As we
14 know, the marine terminal operator under the Act is anyone
15 who's in the business of providing the wharfage, dockage,
16 warehouse, or other terminal facilities. And pursuant to
17 that process, the General Counsel issued its opinion
18 despite what the Respondents had argued that the
19 Commission's jurisdiction did not encompass their role at
20 that ports, nor did their proposed joint venture fall
21 within the jurisdiction.

22 So the ILA then, years later, files a private
23 complaint with the Commission, and the immediate reaction,
24 understandably, by the Respondents -- hey, we're not in the
25 jurisdiction. We did our best to argue that. And we lost

1 that argument. And you're going to lose, too.

2 But there's a few other things that took place
3 and that I think are important to realize. The Commission
4 should evaluate its jurisdiction based upon a full venture
5 record. The Commission evaluates each terminal on a case-
6 by-case basis, looks at the facts, looks at the facts on
7 the ground, and determines how those facts are playing out
8 and whether or not jurisdiction exists over a particular
9 entity.

10 When the Respondents in this matter moved the ALJ
11 to bifurcate the case, the attorneys had a discussion. And
12 in the motion, the understanding was if we bifurcate the
13 case into jurisdictions and on the merits, we can save time
14 and energy and resources. And the Respondents were
15 confident that they could show that the Commission did not
16 have jurisdiction. The ILA opposed that motion but
17 understood at least that this was a way to address the
18 situation. The Respondents said we want to move for
19 summary judgment after some discovery. The discovery will
20 allow the ILA to respond and then we can proceed from
21 there.

22 So what happened, though, was not precisely what
23 the ILA was expecting. The ALJ ordered a very, very
24 abbreviated discovery -- very limited discovery. And first
25 of all, no depositions were allowed, no third-party

1 discovery. After the discovery order issued, there was a
2 discovery dispute between the ILA and Respondents. The ILA
3 had requested certain correspondence, emails -- any
4 documents that were between the joint ventures in the two
5 ports and their direct customers, the carriers, because
6 they billed the carriers directly. They negotiate with the
7 carriers directly for both Stevedoring and for the gate
8 operations. And those direct contracts, those direct
9 contractual relationships, we thought were supremely
10 relevant whether or not they had the requisite control and
11 the requisite relationship with the carriers to form the
12 basis of jurisdiction.

13 Those documents were not forthcoming. The ILA
14 was able to get some affidavits, and Mr. Thomas has accused
15 the ILA's affidavits of being conclusory, and we then
16 accused his affidavits of being conclusory. But
17 unfortunately that's sometimes the nature of affidavits,
18 especially early on. The affidavits that we proposed
19 were -- when we were told by the judge that we weren't
20 going to have a summary judgment motion because the burden
21 was not going to be on the Respondents to prove no genuine
22 issue of material fact under the Rule 56 of the Federal
23 Rules of Civil Procedure.

24 Instead, the ILA was going to have the burden of
25 proving jurisdiction, which is completely understandable.

1 That's how the ALJ wanted to proceed. But under that sort
2 of posture, with no depositions and no extensive paper
3 discovery, especially the relevant discovery of emails or
4 contractual relationship between the customers and the
5 entities at issue, it's difficult to prove anything beyond
6 a genuine issue of -- beyond the summary judgment standard
7 of no genuine issue of material fact.

8 Consequently, we did try to proceed under the
9 Rule 12(b)(2) standard of motion to dismiss for lack of
10 jurisdiction. And that standard, we are clear, is the
11 standard of the prima facie showing. A lot of back and
12 forth with the ALJ, and the ALJ just sort of dismissed
13 that. But both the Respondents and the ALJ have cited a
14 lot of cases to state that they can make a finding of fact
15 and could actually determine which evidence propounds over
16 the other. They had a preponderance of evidence finding
17 just based upon their affidavits. So no depositions, no
18 cross-examination of witnesses, and very limited discovery.

19 And none of the cases -- and I've been frank with
20 Mr. Thomas. I don't practice much in front of the
21 Commission, but I look at Commission cases, looking at
22 other administrative cases, looking at the Federal Rules of
23 Civil Procedure, I have never seen somebody make a decision
24 on dueling affidavits, make findings of fact on disputed
25 facts based upon affidavits.

1 So I think that was the preliminary error here
2 that needs to be rectified. I don't think the Commission
3 should make a decision about its jurisdiction under what I
4 believe is a large procedural error. The Commission is not
5 a federal court. It is an administrative agency. However,
6 it is -- follows the rules of federal procedure, and it
7 does not have to have the same sort of formality that a
8 court does. That's true, but the rules of federal
9 procedure could be allowed some sort of telephone hearing
10 or some sort of tape-recorded depositions with cross-
11 examination. I mean, cross-examination would really serve
12 to elucidate the relationships between the joint ventures,
13 Charleston Stevedoring and Gateway, in the respective
14 ports, and their specific unique contractual relationships
15 with their customers -- their unique customers, the
16 carriers.

17 So moving forward to the -- I think what we are
18 faced with then is there is no preponderance of the
19 evidence standard here. The ideal situation would be to
20 remand this for additional discovery, and then perhaps we
21 could do Mr. Thomas's summary judgment motion, if that's
22 what he wants to do. But I don't think the Commission
23 decided that it has no jurisdiction over entities simply
24 based on this abbreviated record and findings of fact based
25 on disputes.

1 So moving on to the undisputed facts. I mean,
2 the disputed facts are -- some of them are more relevant
3 than others, but there are some very genuine issues of
4 disputed facts that are in the affidavits about how the
5 terminal operates, particularly with the gates. But the
6 undisputed facts are pretty clear and do show already that
7 the gates, which are terminal facilities, are operated
8 exclusively and solely by the Respondent joint ventures,
9 Gateway and Charleston Stevedoring.

10 The Port Authority does not get involved with any
11 of the contractual negotiations that Charleston Stevedoring
12 and Gateway have with the carriers. Both for Stevedoring
13 but particularly for the gates, a situation where in order
14 to even gain access to the terminal, you have to be able to
15 negotiate and agree upon terms, and then pay that fee as
16 agreed.

17 And in that regard, the ALJ focused a great deal
18 on the Plaquemines case, which is something that is -- a
19 case that is definitely analogous to our case, but not
20 completely by any means. The Plaquemines case, as
21 everybody seems to be aware, dates back to the 1980s. Mr.
22 Thomas has pointed out that it has caused some controversy.
23 It was very much a reach for the Commission's jurisdiction.
24 And the Commission and -- was upheld by the D.C. circuit.
25 But that was a situation where a government agency passed a

1 statute and required certain tariffs be paid, and pursuant
2 to the -- at least the statutory language, that somebody --
3 or a carrier or another entity could be barred from the
4 Plaquemines Parish terminals if the tariff was not paid.

5 The difference between Plaquemines and this case
6 are very instructive and maybe more important than the
7 similarities. Plaquemines Parish is similar to this case
8 in that both in this case and in Plaquemines, on the
9 current record, the ability to bar somebody from the
10 terminal is somewhat theoretical. The ALJ made the point
11 that we had not been able to show a single time where
12 somebody was turned away at the gate by the joint ventures.
13 But the specific facts on the ground is much more --
14 Plaquemines is much more of a reach. This is much more of
15 an easier case for jurisdiction because it's clear, even
16 from the undisputed limited record, that the joint ventures
17 control the gates, as that term is normally used. They
18 have a lease of -- the entire gates is staff only by the
19 joint ventures' employees and supervisors, and they
20 negotiate separate agreements with the carriers on those
21 gates.

22 CHAIRMAN MAFFEI: Do you -- I'm sorry to
23 interrupt.

24 MR. SHERIDAN: Oh sure. Yeah.

25 CHAIRMAN MAFFEI: Do you have examples of those

1 separate agreements?

2 MR. SHERIDAN: The separate agreements?

3 CHAIRMAN MAFFEI: Yeah.

4 MR. SHERIDAN: Well I mean, the ALJ found this
5 fact, they have exclusive ability to negotiate the terms of
6 their agreements, both for Stevedoring and for the Gates.

7 CHAIRMAN MAFFEI: And I know that you don't have
8 a specific instance where they've sort of turned someone
9 away, but can you at least give us the categories of where
10 they would turn somebody away?

11 MR. SHERIDAN: So okay. Well, Mr. Chairman, let
12 me add there's two answers to that. There are situations
13 where our -- we have affidavits that the employees have
14 been forced to turn people away because of various
15 administrative, clerical matters, where their papers were
16 not in order, where there was not some sort administrative
17 or clerical thing that was correct. And they had to come
18 back the next day. So that --

19 CHAIRMAN MAFFEI: Do you have affidavits to the
20 effect that -- or some other evidence that those policies
21 were set by the -- by the private entity or were those
22 policies set by the Port Authority and they were just
23 carrying it out? Can you make that distinction?

24 MR. SHERIDAN: So Mr. Chairman, that's my sort of
25 second answer to the question, is we show that there was a

1 practical ability to -- they operate the gates. You have
2 to go through them before you get into the terminal, just
3 from a very practical standpoint. But it would have been
4 helpful to have evidence of the actual contractual
5 relationship between the joint ventures and the carriers.
6 What caused them to pay the fee? What does the fee entail?
7 What does the fee provide the carrier? What does the
8 carrier promise the joint venture? And that's the sort of
9 documents or evidence that we don't have, other than sort
10 of conclusory affidavits.

11 For example, they said we have no authority to
12 turn away a truck based upon commercial reasons. Sort of a
13 vague conclusory statement. I submit to you that we do
14 know that they are the exclusive provider of gate services,
15 that they charge a fee. And a fee in any business sense
16 means it's a payment for something in exchange. And that
17 fee alone, besides without having any sort of confrontation
18 or turning away at the gate, is enough to cause a gateway,
19 a hurdle to jump over. Business --

20 CHAIRMAN MAFFEI: To the best of your knowledge,
21 they have complete control over that fee or does the
22 employee -- Port Authority have to agree to it?

23 MR. SHERIDAN: They have complete control, but it
24 has to be commercially reasonable. But I mean, we're
25 talking about a situation where it is a unique negotiation.

1 And if, for example, the Port Authority agrees that the fee
2 is commercially reasonable, if it is objectively
3 commercially reasonable, but they're still not getting
4 paid, what is the ability that they have to continue to do
5 business with them? Are they forced to continue to do
6 business without being paid? Is the Port Authority
7 requiring --

8 CHAIRMAN MAFFEI: Does the fee go to the Port
9 Authority in that case or does the fee go to the company?

10 MR. SHERIDAN: No. It goes to the company.
11 We're talking about the fees that the company charges and
12 invoices, and -- but we don't know -- but the important --
13 there's nothing in the agreement between the Port Authority
14 and the companies that says you have to work for free, that
15 this fee is just a suggested donation. A fee means
16 something in the business sense. Now, obviously customers
17 want to pay the fee. They want to get their cargo moving.
18 But if we're looking at some new jurisdiction, we have to
19 think about the hypothetical situation. Who is in charge
20 of this fee? It's the company. They've negotiated. What
21 will they do if they don't get paid? Conversely, what will
22 they do if they can't come to terms on the fee? If they
23 can't -- the carrier or the shipper will have to go to
24 another location. That's what a fee means, and that's what
25 the Commission is here to regulate, is the amount of money

1 that is charged to the will to the shipper -- the shipping
2 community.

3 So this is one fee that is imposed not by the
4 Port Authority. The Port Authority has some input onto
5 whether it's commercially reasonable, but at the end of the
6 day, it's a contract, a unique contract that is not
7 involving the Port Authority. The privity of contract is
8 between the carrier and the joint ventures -- the --

9 COMMISSIONER DYE: How is the carrier, the
10 trucker, informed of the fees?

11 MR. SHERIDAN: How is he informed of the fees? I
12 think it's charged to the carrier. So I'm not sure if the
13 trucker is necessarily aware personally.

14 COMMISSIONER DYE: Is there a tariff?

15 MR. SHERIDAN: No. It's not a tariff.

16 COMMISSIONER DYE: Right.

17 MR. SHERIDAN: It's a fee. But it's a -- it's --

18 COMMISSIONER DYE: But the fee is not filed in
19 the tariff?

20 MR. SHERIDAN: Well, because (indiscernible)
21 that's sort of a little bit circular, right?

22 COMMISSIONER DYE: I --

23 MR. SHERIDAN: Perhaps it would be --

24 COMMISSIONER DYE: -- I think that we're talking
25 past each other.

1 MR. SHERIDAN: But it would be --

2 COMMISSIONER DYE: I understand that --

3 MR. SHERIDAN: Because the Commission doesn't
4 have jurisdiction, so it wasn't filed.

5 COMMISSIONER DYE: Okay.

6 MR. SHERIDAN: Yeah. Yeah.

7 COMMISSIONER VEKICH: Mr. Chair --

8 MR. SHERIDAN: Yeah.

9 COMMISSIONER VEKICH: -- a more basic question.
10 Do the gate checkers control access to the terminals?

11 MR. SHERIDAN: Yes. I think that could be
12 developed -- or I think they do.

13 COMMISSIONER VEKICH: And if --

14 MR. SHERIDAN: The Respondents represented to
15 this Commission that they controlled access to terminals in
16 2019.

17 COMMISSIONER VEKICH: Okay.

18 MR. SHERIDAN: That's the language they used.

19 COMMISSIONER VEKICH: If you don't have check --
20 why have checkers at all if they don't control access? And
21 are they the only ones who would turn a truck away, for
22 example, would be the checker?

23 MR. SHERIDAN: No. They wouldn't be the only
24 ones. They pointed out there was security that was not run
25 by the joint ventures, who would also -- who were -- the

1 first gate to the terminal.

2 COMMISSIONER VEKICH: I see. But security
3 doesn't normally deal with cargo?

4 MR. SHERIDAN: No. It's not really something
5 that's in the Commissioner's jurisdiction at all. It's not
6 something --

7 COMMISSIONER VEKICH: Right. Right. The checker
8 is something -- we -- it touches upon our world, so it's --

9 MR. SHERIDAN: Yeah. Checking is a terminal,
10 yeah, service.

11 Yeah, so that's -- I think that the record could
12 be more fully developed on that issue. I think the
13 undisputed facts show that the joint ventures are involved
14 in a fee service, that they are requiring payment as a
15 result of them letting people into the terminal. And I
16 don't think we need to have an actual confrontation or some
17 sort of turning away.

18 They do control the terminal. They do turn
19 people away on other issues. And perhaps we could, if we
20 did more discovery, find that. But I think we would
21 definitely find situations where there was letters and
22 other demands for payment. Thank you.

23 CHAIRMAN MAFFEI: Before you go, Mr. Sheridan --

24 MR. SHERIDAN: Sure.

25 CHAIRMAN MAFFEI: -- you've been very good about

1 the time, but I do want to ask -- answer --

2 MR. SHERIDAN: Sure.

3 CHAIRMAN MAFFEI: -- answer to that question.

4 It's the exact thing you were asking. I just want to
5 develop a little bit more. If allowed discovery, what
6 kinds of things would you look for? What kind of documents
7 would -- if you were -- had been allowed discovery, would
8 you be looking for in order to address the jurisdictional
9 question?

10 MR. SHERIDAN: Well, precisely what we've just
11 been talking about, the -- what the relationship between
12 the carrier and the joint venture is in terms of this fee
13 arrangement, this contract that says you pay this fee,
14 it'll be billed in what way, it will be due when. In
15 return, this contract allows you how long? How is the
16 contract terminable? If the contract is terminable at
17 will, then that gives us -- you can't contract with the
18 gatekeeper, you're not going to get to the terminal.

19 CHAIRMAN MAFFEI: And you ask for that
20 information, but it wasn't provided and it's not --

21 MR. SHERIDAN: Yeah. We had a very brief meeting
22 and we asked for -- we tried to talk about it and the ALJ
23 did not provide it, yes.

24 CHAIRMAN MAFFEI: Okay.

25 COMMISSIONER DYE: That's a finding of fact?

1 CHAIRMAN MAFFEI: Stand by one second.

2 COMMISSIONER DYE: I think we have a finding of
3 fact on that.

4 CHAIRMAN MAFFEI: Oh. Okay.

5 COMMISSIONER DYE: Yes. I'm looking at -- it's a
6 finding of fact on page 12, finding of fact page number 45.

7 MR. SHERIDAN: Uh-huh.

8 COMMISSIONER DYE: "Gateway does not and has no
9 authority to refuse entry to trucks or cargo on economic or
10 commercial grounds."

11 MR. SHERIDAN: Yes. That was a finding a fact
12 that the ALJ made upon disputed facts of the two
13 affidavits.

14 COMMISSIONER DYE: I understand.

15 MR. SHERIDAN: Yeah.

16 COMMISSIONER DYE: Thank you.

17 CHAIRMAN MAFFEI: Actually, that is helpful. I
18 just want to make sure. Any other questions?

19 Okay. Thank you. And I apologize for making you
20 go late. That was -- that was --

21 COMMISSIONER VEKICH: Are you done?

22 CHAIRMAN MAFFEI: Yeah. Yeah. That's why I
23 asked if you had any more questions.

24 COMMISSIONER VEKICH: Well I was -- yes. I do.

25 CHAIRMAN MAFFEI: Okay.

1 COMMISSIONER VEKICH: Just when a checker turns
2 that truck away, if they don't accept him, there would be a
3 record of that. And so there would -- it was possible that
4 there could have been evidence that would show that there
5 was control exercised by the checker's employer, my guess
6 is.

7 MR. SHERIDAN: Oh, yeah. And that's --

8 COMMISSIONER VEKICH: Okay.

9 MR. SHERIDAN: -- I mean, if there was a record,
10 that we would want that -- when we talk about the
11 relationship, what kind of turn away that they had, a
12 physical --

13 COMMISSIONER VEKICH: Right. Exactly.

14 MR. SHERIDAN: -- but I was saying even without
15 the turn away, there could have been other things like get
16 your bill paid or else do not be coming by with your cargo.

17 COMMISSIONER VEKICH: It strikes me as curious
18 that that evidence about the transactions weren't allowed,
19 though. It would seem that there's -- would be plenty of
20 evidence out there, potentially.

21 MR. SHERIDAN: Oh, I'm sure there is. I'm sure
22 there is. I mean, it was a very abbreviated schedule.
23 Thank you. Appreciate it.

24 COMMISSIONER VEKICH: Thank you very much, Mr.
25 Chairman.

1 CHAIRMAN MAFFEI: Now arguing on behalf of the
2 Respondents, Mr. Matthew Thomas. Mr. Thomas, you have 30
3 minutes. Thank you again and please proceed.

4 MR. THOMAS: Thanks very much, Mr. Chairman.

5 CHAIRMAN MAFFEI: Actually, because we just went
6 over, we may -- feel free to go over a bit here, too, and
7 we'll probably have questions, but -- so you'll end up with
8 roughly 33.

9 MR. THOMAS: Great. Thanks very much, Mr.
10 Chairman. And hello and good afternoon, Commissioners.
11 Matthew Thomas of Blank Rome LLP, appearing on behalf of
12 the five Respondents in this proceeding.

13 The presiding officer's decision to dismiss the
14 complaint for lack of jurisdiction over any of the five
15 Respondents was correct on the law and supported by
16 substantial evidence. Respondents ask that the decision be
17 affirmed.

18 I'm just going to jump in and continue on on some
19 of these gate questions that we were -- they were just
20 talking about. One of our course of big picture points in
21 this argument is that we have five individual Respondents
22 here, and a lot of the discussion and Complainant's
23 briefing focuses on the Respondents en masse or in toto.
24 The Commission has jurisdiction over the Respondents. We
25 want to respectfully remind the Commission that we're

1 talking about five separate companies, and there's not any
2 basis presented here to engage in a veil piercing exercise
3 such that a finding of jurisdiction over one company at one
4 time, or finding a jurisdiction that one of the Respondents
5 provided marine terminal facilities at one particular
6 instance leads to a finding of jurisdiction and MTO status
7 for all of the -- all of the companies.

8 With regard to the gate issues, in particular the
9 concerns about discovery, the ALJ relied heavily not just
10 on the declarations of the parties and competing
11 declarations of the parties, which were -- were very
12 fulsome. The ALJ relied in particular on the declarations
13 of the South Carolina Port Authority and the Georgia Port
14 Authority. Although they were the drivers for the
15 consolidation of the Stevedoring operations in those two
16 ports, the Port Authorities are not parties to this case.
17 They did, however, put in helpful and detailed testimony
18 explaining intensively what the nature of the relationship
19 is with -- previously with the legacy Stevedoring companies
20 and now with the current Stevedoring companies, Gateway and
21 CSC.

22 The declarations were also backed up with
23 significant production of contracts, the license agreements
24 and other agreements between the ports and the various
25 Respondents -- old contracts with the previous legacy

1 stevedores (sic) and then the new license agreements with
2 Gateway and CSC.

3 So that's the body of evidence here that really
4 defines the nature of what the -- what these parties are
5 doing. We submit that additional discovery production of
6 reams of emails and searching and things of the
7 correspondence between the Stevedoring companies and the
8 carriers, that's not necessary and that's not relevant to
9 the determination of what's happening on the ground. The
10 Declarants, both on the ILA side and on the Respondents'
11 side, have firsthand knowledge of what's happening on the
12 ground in those ports. And the ports certainly know what's
13 happening on the ground in their ports. Those are the
14 appropriates of witnesses here, and that's what really the
15 ALJ relied on.

16 Just on this -- that issue of whether the --
17 whether the Respondents were -- or really whether Gateway
18 and CSC can turn parties away for nonpayment, I know that
19 in Charleston, gate operations are handled by Charleston
20 Gate. That is a different company with a different
21 shareholding structure than CSC, the Respondent in this
22 case. Charleston Gate is not a party to this case. The
23 three, well, the shareholders there are MTC East, also not
24 a Ports America affiliate, not a party here, SSA and Ceres
25 Terminals, who are parties here. But there also is another

1 shareholder in Charleston Gate. So it is not an alter ego
2 of somebody you have before you. So it's important to
3 recognize those.

4 Then the declaration -- the declarations of the
5 parties relating to Charles -- to Gateway and the
6 operations in Savannah really lay out in detail that the
7 carriers are billed by Gateway on a monthly basis. They
8 have no authority to turn away cargo at the gate or refuse
9 cargo at the gate. These processes really are detailed in
10 the existing record, which we think is sufficient.

11 CHAIRMAN MAFFEI: Excuse me, Mr. Thomas, you said
12 they have no authority. So then cargo does not get turned
13 away at the gate?

14 MR. THOMAS: Correct. The carriers are billed on
15 a monthly basis. They are not -- the cargo is not turned
16 away at the -- gate companies can't turn away the cargo at
17 the gate for nonpayment. And no payment is made up to
18 gate, so.

19 Just turning back to one -- to some of the sort
20 of broader key points here. So as the record reflects, the
21 dispute arose as a result of policy determinations reached
22 independently by the State Port Authorities in Georgia and
23 South Carolina, who are not parties to this proceeding, to
24 transition to a single Stevedoring provider model for their
25 container terminals in Savannah and Charleston. The change

1 was made to improve operational efficiency and throughput
2 in the face of rising cargo volumes, as the testimony of
3 those ports indicates.

4 As a result of the Court's decision, the then-
5 existing Stevedoring providers -- that is, Respondents SSA
6 Atlantic and Ceres Marine Terminals, along with a nonparty
7 to this case, MTC -- I mean, Marine Terminals Corporation
8 East, they ceased operating their legacy -- their competing
9 legacy Stevedoring operations in 2020 and 2021. The
10 Georgia and South Carolina Port Authorities, however,
11 enabled joint venture companies that were owned by the
12 three legacy stevedores and allowed them to begin providing
13 Stevedoring in each port. Those joint ventures are the
14 Respondents Charleston Stevedoring Company, or CSC, which
15 began operating in May 2020 in South Carolina, and Gateway
16 Terminals in Savannah, which added Stevedoring to its
17 existing gate operation services in Savannah in October
18 '21.

19 CHAIRMAN MAFFEI: I'm going to ask this, and I
20 know it's a loaded question --

21 MR. THOMAS: Yeah.

22 CHAIRMAN MAFFEI: -- but what do you mean by
23 Stevedoring? Can you tell us what Stevedoring is by the --
24 by what you're saying? When they provide Stevedoring
25 services, what does that mean?

1 MR. THOMAS: They are loading and unloading cargo
2 from vessel to point of rest and moving cargo within the
3 terminal facilities. There is, fortunately, a really
4 robust explanation in the factual record of what exactly
5 they are doing over there. And there's contracts with the
6 port -- or in the license that the two Stevedoring
7 companies have with the two ports. It really delineates
8 exactly what functions they're providing, so.

9 COMMISSIONER VEKICH: Mr. Thomas, so what does a
10 marine terminal operator do then?

11 MR. THOMAS: So --

12 COMMISSIONER VEKICH: How are they different?

13 MR. THOMAS: A marine terminal operator, under
14 the Shipping Act, is in business of furnishing marine
15 terminal facilities to a common carrier or a domestic
16 carrier and a common carrier. So this is really the key
17 statutory issue here. Who is providing the facilities?
18 And that's just straight out of the text of the Shipping
19 Act. Fortunately, very simple statute -- very simple text.
20 Who provides the facilities?

21 COMMISSIONER VEKICH: And in that facility, I'm
22 so -- I had to follow-up, Mr. Chairman.

23 Mr. Thomas, the LoBiondo Act extended
24 prohibitions under the Shipping Act to certain covered
25 services, including tug services amongst others. Do you

1 believe that LoBiondo Act alters the Commission's
2 jurisdictional analysis?

3 MR. THOMAS: Good question, Commissioner. And
4 no. No, it doesn't. It does not change the statutory
5 definition of who is a marine terminal operator. That has
6 stayed consistent through the 1984 -- since the passage of
7 the 1984 act.

8 COMMISSIONER VEKICH: So two or more ocean
9 carriers collaborate services, there would almost -- you
10 could see where the FMC could exert jurisdiction over
11 Stevedoring.

12 MR. THOMAS: For the FMC to exert regulatory
13 authority or power, you need a couple of things. First of
14 all, you need personal jurisdiction over who you're trying
15 to regulate. Is this an ocean common carrier? Is this an
16 NVOCC? Is this a marine terminal operator? You have to
17 check that box by looking at the definition right there on
18 the Shipping Act. Do we have somebody we regulate?

19 The second question is, are they doing something
20 that we regulate? So some of the cases that Complainants
21 cited, like like Port Canaveral and Petchem, those cases
22 were about, do -- are these the kind of services that the
23 FMC regulates? Is this receiving, handling, or storing or
24 delivering cargo? So sort of a two-step thing. Do you
25 have a regulated party? And here the answer is no. And if

1 you have a regulated party, are they doing a regulated
2 thing, like tug services and things like that. So we're at
3 that sort of step one.

4 COMMISSIONER DYE: Mr. Thomas, the South Carolina
5 Port Authority and the Georgia Port Authority are operating
6 ports --

7 MR. THOMAS: Correct.

8 COMMISSIONER DYE: -- as opposed to our landlord
9 ports that enter into lease agreements --

10 MR. THOMAS: Yes. That's correct.

11 COMMISSIONER DYE: -- with their terminal
12 operators. Now obviously this is different. The lessees
13 are different in control than the lessees (sic) --

14 MR. THOMAS: Uh-huh.

15 COMMISSIONER DYE: -- as a landlord ports?

16 MR. THOMAS: Yes.

17 COMMISSIONER DYE: Right. Is there anything that
18 prohibits the ports from organizing their businesses as
19 arms of the State by using leases rather than -- to be
20 lessees rather than lessors?

21 MR. THOMAS: Yes. I mean, that's one of the
22 interesting things about ports and terminals in the United
23 States, is that different regions and states organize their
24 ports differently. In the southeast, there was this
25 tradition of having operating ports where the state port

1 authorities actually operate the marine terminal. They
2 control -- they provide that facility, the land and the
3 crane and the warehousing. And then they may have in --
4 private companies in as concessionaires or contractors
5 operating in there. But those concessionaires, like my
6 clients, aren't providing any facilities. In other
7 places --

8 COMMISSIONER DYE: Well, they're -- that's right
9 that they are -- they have a license --

10 MR. THOMAS: Yes.

11 COMMISSIONER DYE: -- which is a lesser
12 possessory matter --

13 MR. THOMAS: Uh-huh.

14 COMMISSIONER DYE: -- than a lease.

15 MR. THOMAS: That's exactly right. So moving up
16 the coast, you've got in Port of Baltimore, up here in New
17 York and New Jersey, you've got the landlord port model,
18 where a terminal is actually leased -- a physical piece of
19 land, marine terminal berth, leased to a private company.
20 And then that private marine terminal operator is actually
21 providing that facility to carriers.

22 CHAIRMAN MAFFEI: So are you saying that implicit
23 in the word "facility" is it has to be something physical?
24 It cannot be services?

25 MR. THOMAS: That's absolutely correct, yes. If

1 you're providing --

2 CHAIRMAN MAFFEI: So Congress did a really poor
3 job of selecting this term "marine terminal operator,"
4 because if somebody operates something, it's not -- if
5 they -- the term "operator," you're doing something. It's
6 a verb. I mean, operator is a noun that depends on the
7 verb of operating something. But operating something
8 doesn't have anything to do with a physical facility. You
9 can have a physical facility and not operate anything, or
10 you could operate stuff on it. So they just did a very
11 poor job of picking that term?

12 COMMISSIONER DYE: Well, I think, Mr. Thomas,
13 doesn't it depend on the terms of the license?

14 MR. THOMAS: It absolutely turns on whether --
15 the question's jurisdiction and MTO status determines
16 whether the company operating in there has rights --
17 property rights to the facility itself. If it's
18 operating --

19 COMMISSIONER DYE: And operational rights as
20 well.

21 MR. THOMAS: Yes. Rights to operate and control
22 that facility. I don't know that -- at least the -- is
23 this my mic that's feeding back --

24 UNIDENTIFIED SPEAKER: Yes.

25 MR. THOMAS: -- in sort of a weird way. Sorry.

1 COMMISSIONER DYE: It's my fault.

2 MR. THOMAS: Oh. So the definition is pretty
3 simple, that it turns on whether Respondents are providing
4 a wharfage, dock, warehouse, or other terminal facilities.
5 So I think if we went down there and had a stroll around --
6 we should have done this really in Charleston or
7 Savannah -- but if we were down there and we had a walk
8 around, we could look at the facilities, look at the wharf,
9 dock, warehouse, physical facilities and say who's
10 providing -- who's providing that? Who owns it or who
11 leases it and who controls that piece of land? And then
12 you'd be able to sort of see and -- see and touch the fact
13 that our clients are not providing any of those facilities.

14 COMMISSIONER DYE: Mr. Thomas, could you -- could
15 we get back to focusing on control?

16 MR. THOMAS: Yes.

17 COMMISSIONER DYE: Could you discuss the 2019
18 General Counsel's opinion --

19 MR. THOMAS: Yes.

20 COMMISSIONER DYE: -- on control and how would
21 it -- how it applies in South Carolina and Georgia?

22 MR. THOMAS: Yes, absolutely. So arising out of
23 those Plaquemines cases, the two Plaquemines cases in the
24 1980s, is what's called the control theory for marine
25 terminal operator status -- the control theory of FMC

1 jurisdiction, which is problematic. In some ways, it's
2 very much a -- of its -- of a time -- sort of a relic of
3 1980s administrative law, where agencies were blissfully
4 free to kind of ignore the language of the statute and go
5 and opine about what Congress's broader intent was. And
6 then we're afforded deference by the courts to come up with
7 sort of definitions and regulations that did that.

8 So the control theory -- the Commission in the
9 D.C. Circuit looked beyond the text of the Shipping Act
10 definition for marine terminal operator and focused instead
11 on Congress's perceived purpose. In those cases, the
12 Commission and the D.C. Circuit agreed that port, harbor,
13 and terminal service districts' combination of offering
14 essential services and controlling access to marine
15 terminals for a fee rendered it a marine -- the public
16 ports a marine terminal operator. And this control theory
17 really is the basis of Complainant's argument, that our
18 client is a -- our client's a -- an MTO. And honestly it's
19 the basis of my complaint -- or of my argument when we
20 first approached the Commission and said, hey, we think
21 these parties back in 2019 may be MTOs here.

22 And that approach was really narrowed. It was
23 rejected by the First Circuit in the PRPA v. FMC case, and
24 significantly, significantly narrowed. In that case, the
25 Commission described the test as follows. What's necessary

1 for jurisdiction to lie is not a predetermined level of
2 activity, but rather enough control to have an effect of
3 the nature the shipping statutes were enacted to regulate.
4 So very sort of vague, open-ended case.

5 DOJ in those cases broke with the FMC and before
6 the Courts of Appeals opposed this -- said the -- this was
7 not consistent with the statute and piled on, and so the
8 Commission made this up out of whole cloth. The First
9 Circuit decided not to adopt that control theory.

10 COMMISSIONER DYE: Do you believe that we should
11 revisit the 2019 General Counsel opinion?

12 MR. THOMAS: I think the 2019 General Counsel
13 opinion was correct. I think he correctly said that these
14 parties -- even looking at the issue of control, these
15 parties did not have enough control over marine terminal
16 facilities to warrant them being considered a marine
17 terminal operator.

18 And we took that back and looked at that and
19 studied, and we recognized that the -- that was the
20 stronger argument here. We recognize really from a
21 practical standpoint that it's not the 1980s anymore.
22 Finding these clients, who are not public port authorities
23 at all -- finding these clients to be marine terminal
24 operators would really be a big expansion of this vintage
25 '80s control theory, and it would really blow right past

1 the text of the Shipping Act. And really, there's -- what
2 we saw is no chance that the Fourth Circuit or the Eleventh
3 Circuit would go for such a sort of extra statutory
4 broadening of the Commission's authority. And DOJ would
5 likely be all over this, because it would broaden antitrust
6 immunity and the Commission's regulatory authority over
7 parties that don't have marine terminal -- that don't
8 provide terminal facilities, don't provide services. So
9 broadening antitrust immunity, broadening regulation,
10 that's not in style these days.

11 So we recognize that the General Counsel's
12 opinion in 2019 was correct, and the parties went off and
13 put together their joint venture under the -- under the
14 antitrust laws.

15 So couple of other just core -- really
16 foundational issues.

17 COMMISSIONER VEKICH: Mr. Thomas --

18 MR. THOMAS: Yeah.

19 COMMISSIONER VEKICH: I'm still troubled by the
20 fact that the LoBiondo Act existed. It seemed like he --
21 they definitely thought Stevedoring ought to be under FMC
22 jurisdiction.

23 Because you mentioned vague areas and you talked
24 about this here and this there and so on, volume, and I'm
25 learning as you testify. So I'm curious, how does -- is

1 that not just a relic for the past?

2 MR. THOMAS: Well --

3 COMMISSIONER VEKICH: It's not that old, is it?

4 MR. THOMAS: Correct, yes. But the LoBiondo Act
5 did not fundamentally change the definition of marine
6 terminal operator to render stevedores marine terminal
7 operators. Yeah. That was not the -- that wasn't the
8 effect of those -- I mean, it did impact agreements with
9 regard to essential services, but that's just
10 jurisdictionally a different -- a different issue than what
11 we're talking about here, which is who is a regulated MTO?

12 COMMISSIONER DYE: Mr. Thomas, do you agree that
13 parties should be able to rely on former General Counsels
14 opinions as precedent?

15 MR. THOMAS: I do. I mean, with all due respect
16 to the Commission, I mean, the -- a legal opinion from the
17 General Counsel is one thing, and a final agency order
18 obviously has much more weight and precedential value in
19 that thing. In that case, the General Counsel explained to
20 us that they had looked at options and they had polled all
21 the Commissioners, and that that legal opinion represented
22 the consensus of the agency -- of the Commissioners. And
23 although it wasn't final agency order -- but it was
24 implemented as policy through the agency. We were allowed
25 to withdraw the agreement and proceed with the JVs without

1 enforcement looking at us or agreements chasing us.

2 So in that situation, we thought certainly this
3 is the policy of the agency. And I think a review in court
4 would say, hey, in 2019, that this was the -- this was the
5 policy of the agency.

6 COMMISSIONER DYE: Thank you.

7 MR. THOMAS: So a couple other very sort of
8 foundational points here that we just like to kind of
9 remind the Commission about. So we talked a little bit
10 about how jurisdiction has to be made on a company-by-
11 company basis. You can't impute from one Respondent to the
12 other this MTO status based on their activities.

13 CHAIRMAN MAFFEI: I'm glad you got back into
14 this, because I -- so are you saying that if any of the
15 company -- even if one of the companies was -- that we did
16 have jurisdiction over one of the company's actions, the
17 case should not -- should have been dismissed because we
18 don't have jurisdiction over all the companies?

19 MR. THOMAS: If you find jurisdiction over one of
20 the Respondents, then the case is not dismissed in total.
21 It's dismissed with regard to who you don't have
22 jurisdiction over, and it proceeds with whoever you do
23 find. And so it would -- the case would then go back to
24 the ALJ presumably on that end.

25 So other sort of key point here, MTO jurisdiction

1 is facility-specific. And that's those -- that line of
2 cases, the Alaska cases that Auction Block Company v. City
3 of Homer, in which they -- the Commission and the Court of
4 Appeals agreed that just because a company is a marine
5 terminal operator for the purposes of the Deepwater Dock or
6 the Pioneer Dock, it's not an MTO across the street at the
7 fish -- at the fish dock. So we're really looking at
8 facility by facility, parcel by wharf by wharf parcel. Are
9 you a marine terminal or are you not?

10 CHAIRMAN MAFFEI: So I mean, you're very familiar
11 with not operating ports -- landlord courts?

12 MR. THOMAS: Yes.

13 CHAIRMAN MAFFEI: In a landlord port, why is what
14 we currently view as a marine terminal operator a marine
15 terminal operator? They may lease the facilities, but they
16 don't provide -- they don't provide -- the physical stuff
17 is owned by the landlord portal. So why should they even
18 be considered MTOs?

19 MR. THOMAS: Just because they lease that --

20 CHAIRMAN MAFFEI: So it has to do with whether
21 it's a lease or a -- if it's a contract for services, they
22 should not be, but if it's a lease for land, they should
23 be. Is that where you -- is that?

24 MR. THOMAS: Yes. Yeah. And this is a great
25 bright line test here. If you have a marine terminal -- if

1 you own it, if you lease it, this -- it's your facility and
2 you're providing it -- providing it for common carriers to
3 use it to put -- run cargo through, you're a marine
4 terminal operator. If you are in somebody else's marine
5 terminal and you're providing Stevedoring or M and R or IT
6 services or anything in somebody else's terminal -- you
7 don't own it, you don't lease it, you do -- it's not yours,
8 you're not a marine terminal operator. So this is
9 mercifully a pretty -- a pretty straightforward --

10 CHAIRMAN MAFFEI: I guess, but I don't understand
11 why all the landlord ports don't just change their leases
12 to contracts, and then the current MTOs there won't have to
13 worry about being under the jurisdiction of the FMC any
14 longer. And of course, as long as those landlord ports are
15 ultimately owned by a state or government entity, then they
16 won't have to worry about it either. Doesn't that create a
17 huge loophole? I mean, I -- maybe we'll see a massive
18 restructuring in the next year.

19 MR. THOMAS: I mean, can we just tack on like an
20 extra 90 minutes to just chat about infrastructure finance?

21 COMMISSIONER DYE: I think we're really talking
22 about the difference between a lease inherently --

23 MR. THOMAS: Yes.

24 COMMISSIONER DYE: -- and a license --

25 MR. THOMAS: Uh-huh.

1 COMMISSIONER DYE: -- that is limited and depends
2 on the terms that a grantor gives to a licensee --

3 MR. THOMAS: Yes.

4 COMMISSIONER DYE: -- and those two possessories
5 are very different --

6 MR. THOMAS: Uh-huh.

7 COMMISSIONER DYE: -- and landlord ports
8 obviously use broad leases.

9 MR. THOMAS: Yes. It's really the nature of the
10 agreement. Does the agreement, like a lease -- and, I
11 mean, just think of it like an apartment or -- an apartment
12 or office or WeWork or something like this -- does this
13 give you a right to a defined piece of land or berth or
14 crane or something? Do you have a right to use it, operate
15 it for however long or do you just have a right to go in on
16 somebody else's facility and move cargo in there and --

17 CHAIRMAN MAFFEI: So and what I'm talking about,
18 they could technically restructure it as a contract, but
19 you would say for legal purposes, it would still be -- it
20 would still -- they would still be the MTO operator,
21 because they can do that legal restructuring. But it would
22 just be --

23 MR. THOMAS: Yeah. I mean, marine terminal
24 leases are very interesting because municipalities --
25 oftentimes these are very long term instruments, and they

1 want that certain revenue stream for 30 years or 50 years.
2 They're looking for capital investment from their tenants
3 that are coming in. They are shifting liability for stuff
4 that goes wrong in that terminal to these tenants. And so
5 there's a lot of reasons why landlord ports do it that way.

6 I'm running pretty short on time. I just wanted
7 to flag up a couple of -- just sort of separate issue here.
8 In our November response to the Complainant's objections,
9 we did a couple of things. I mean, first, we agreed with
10 the ALJ's ruling on jurisdiction. But also we asked that
11 the Commission review de novo the ALJ's November 7th ruling
12 on our motion to dismiss for failure to state a claim. And
13 that ruling, that November '22 ruling, was particularly
14 concerning because the presiding officer didn't apply or
15 even acknowledge or engage at all with the decades of
16 precedent that controls what's a properly pled,
17 unreasonable refusal to deal claim, and discrimination
18 claim under 41106(3) and (2) respectively. And the most
19 sort of worrying part of that ruling was that the ALJ found
20 that under 41106(3), a cause of action may lie for an
21 unreasonable refusal of a waterfront employer to negotiate
22 with a longshore union, and she ordered the parties to
23 proceed to discovery on that claim.

24 This idea of unreasonable refusal to negotiate
25 with a union, we -- it's clearly outside the scope of the

1 Shipping Act. It's contrary to the Maritime Labor
2 Agreements Act of 1980, which is currently codified in the
3 Shipping Act at 40301(d). That 1980 act based collective
4 bargaining firmly outside the Commission's jurisdiction,
5 ordering discovery into the Respondent's or Respondent's
6 and carrier's conduct of labor negotiations with the union
7 for the purposes of FMC regulation of that bargaining.
8 That's clearly outside the scope of the Commission's
9 authority.

10 COMMISSIONER DYE: Yes. Mr. Thomas, do you agree
11 that -- with the ILA in this matter that the Commission has
12 jurisdiction -- if we agree with the ILA's position, would
13 the Commission in effect be involving itself in labor
14 negotiations?

15 MR. THOMAS: Under that particular count in the
16 complaint, that -- one count in the complaint goes squarely
17 to the sufficiency of the employer's labor negotiations
18 with the unions. So yes, it would be -- that count puts
19 the Commission very squarely in -- right in as a labor
20 regulator. And so in our motion to dismiss, we discussed
21 the 1980 Act and the legislative history and Garmon
22 preemption for matters under NLRB. And just none of that
23 was acknowledged at all by the presiding officer, which we
24 think was just, on its face, arbitrary and capricious, so.

25 There were two other counts that we flagged up in

1 that motion to dismiss, where similarly the presiding
2 officer just didn't acknowledge any of the authority --
3 the Ceres case and the Maher case regarding the standards
4 for a properly pled refusal to deal claim and a properly
5 pled -- the four-part test for a properly pled
6 discrimination claim here.

7 Very briefly, the Complainants assert that the
8 Respondents -- again, the mass of Respondents have refused
9 to deal with -- (indiscernible) refused to deal because the
10 legacy Respondents stopped operating. And there's not a
11 specific identification of who was refused -- who was
12 subject to the refusal to deal. It was just more along the
13 lines of they stopped operating, and so they have -- they
14 have refused to deal sort of writ large. And again, on the
15 discrimination claim -- or the prejudice claim, there's no
16 allegation that any particular party was discriminated
17 against as a Ceres precedent and other precedents require.
18 There is just a pleading of a series of facts that look
19 like a 6(G) (phonetic) case.

20 COMMISSIONER DYE: But this is really beyond the
21 jurisdiction issue?

22 MR. THOMAS: Yes.

23 COMMISSIONER DYE: Right.

24 MR. THOMAS: Yes. So those are issues that,
25 should the Commission find jurisdiction over any of the

1 parties and send it back to the ALJ to proceed with
2 discovery on any of these cases, we would ask that the
3 Commission take up those issues de novo.

4 CHAIRMAN MAFFEI: One other question before I let
5 you go, anyway, and you may not know the answer to this,
6 but to the best of your knowledge, do any of your clients
7 issue demurrage bills to shippers if something is on the --
8 do they provide that service?

9 MR. THOMAS: I -- I don't --

10 COMMISSIONER DYE: That's fine. I appreciate you
11 entertaining the question.

12 MR. THOMAS: Absolutely.

13 CHAIRMAN MAFFEI: Let me just --

14 Thank you very much, Mr. Thomas. And thank you
15 for respecting our time limits, even if we don't completely
16 respect our own time limits, you certainly did. So I
17 really appreciate it. Thank you again.

18 MR. THOMAS: We can keep going if you --

19 CHAIRMAN MAFFEI: Actually, since you said it,
20 yeah, 90 minutes on -- yeah. I'm the wrong person to ask
21 on that. I probably would have said yes, but -- okay.
22 Yeah. We'll have more questions if we do the 90 minutes.
23 But anyway -- no, we appreciate the offer. And on behalf
24 of my colleagues, if not myself, I will decline at the
25 moment.

1 MR. THOMAS: Thank you all very much.

2 CHAIRMAN MAFFEI: Thank you.

3 So Mr. Sheridan you have between, I guess, 10 and
4 13 minutes, something along --

5 MR. SHERIDAN: 13.

6 CHAIRMAN MAFFEI: Okay. 13 minutes. And
7 hopefully we'll -- me, I'll just talk more -- I'll be more
8 disciplined anyway. Thank you again.

9 MR. SHERIDAN: Thank you again, Commissioners.
10 So just quickly in response, I did want to point out that
11 the Charleston gate entity which Mr. Thomas referenced is
12 two-thirds owned, I believe -- my understand by Charleston
13 Stevedoring. I do know that Charleston Stevedoring has the
14 license from the Port Authority in Charleston in South
15 Carolina to conduct -- exclusive license to conduct the
16 gate operations. And the -- Charleston Stevedoring is --
17 everyone is employed by Charleston Stevedoring.

18 Talk a little bit about -- I guess some
19 discussion about what's a terminal service and what's the
20 actual terminal operations or what -- and I do think the
21 Commissioners should be aware that there are various ways
22 to arrange a terminal such that the entity is operating
23 to -- is operating the terminal, as that term is commonly
24 used, and operating the terminal as a marine terminal
25 operator under the law.

1 In that regard, Commissioner Dye is correct that
2 a licensing agreement is a lower version of -- a lower
3 possessory interest in the property. I'm not sure if
4 necessarily State real property law is what the Commission
5 wants to hang its hat on as a bright line, as Mr. Thomas
6 spoke about. I mean, leases can have a lot of
7 preconditions in them. Some of them are stronger, some of
8 them are looser, some of them can be canceled in short
9 notice, and licensing agreements can be very broad. And
10 the licensing agreement, if you want to review it, gives
11 exclusive jurisdiction to -- and use of the gates to the
12 joint ventures in this case. And there's no employees or
13 oversight by the port authorities in the gate structures.
14 So I think you need to look something more fact-specific
15 and not just the real estate law.

16 Again, there was discussion about the carriers
17 billed on a monthly basis, and a discussion of the
18 Plaquemines case. The Plaquemines case has been somewhat
19 discredited by the First Circuit, but it was -- it adhered
20 to or cited frequently by the ALJ. She really relied on
21 it. And the Plaquemines case, as I said before, if it was
22 an overreach or close to an overreach, this case is much
23 more -- less of that.

24 In Plaquemines, the port authority was a
25 government authority, but it had no possessory interest at

1 all in the terminals. The terminals were privately owned
2 and privately operated. They did impose a law that
3 required that tariffs be paid by terminal users, and that
4 law included a -- both civil and criminal penalties, and
5 also the threat that they -- that somebody who did not pay
6 the tariff would be barred from the terminals. It's not at
7 all clear, if you read the Commission's decision, how this
8 government agency would bar private parties from private
9 terminals. Possibly you would need a court order. So
10 again, it's a theoretical possibility.

11 And again, there's no connection to operating the
12 terminals at the Port Authority in that case had (sic). In
13 this case, the companies, the joint ventures, are involved
14 in the operation of the terminal from Stevedoring -- almost
15 in Stevedoring's exclusive. The yard planning is more or
16 less exclusive, and the yard use is a cooperating
17 agreement. And then the gates are an exclusive right to
18 operate. So from the standpoint of operations, there is
19 real operations going there. And there's also less than a
20 theoretical ability to control access based upon the
21 charging of a fee. And access control, again, I would
22 submit to you would be something more -- something less
23 than an actual confrontation at the gate, but simply the
24 the expectation, the business expectation, that if you pay
25 a fee, it's for something. You get a service, and you

1 won't continue to receive that service if you don't pay the
2 fee.

3 Go ahead.

4 CHAIRMAN MAFFEI: So if it's lease or not, if the
5 Respondents have any control over who goes in and out, that
6 would then therefore make them -- we have jurisdiction over
7 that or --

8 MR. SHERIDAN: Yes. And I believe that
9 continues. The Plaquemines is sort of a basic rule, but
10 it's not quite as extreme as Plaquemines was.

11 CHAIRMAN MAFFEI: Well, do you agree with Mr.
12 Thomas that under the definition of marine terminal
13 operator, a person engaged in the United States in the
14 business of providing wharfage, dock, warehouse, or other
15 terminal facilities, dot dot dot, that that only
16 includes -- that the facilities there -- or that entire
17 statement does not include any services?

18 MR. SHERIDAN: No. I do not agree, no. It's a
19 mixture of both. If you are a third-party service
20 provider, I understand the Commission is not going to get
21 involved with certain people who are providing services,
22 but the marine terminal operator is the entity that is
23 dealing with the carriers and dealing with the fees if they
24 are hiring other third-party service providers and even a
25 Stevedoring provider to come in. But that's not the case

1 here. The build --

2 CHAIRMAN MAFFEI: Do you think something like the
3 term wharfage implicitly includes the service of what -- I
4 guess how Mr. Thompson defines Stevedoring, loading and
5 unloading cargo from a vessel, moving cargo?

6 MR. SHERIDAN: Yes. I mean, I think the
7 terminal -- the marine terminal is defined with a
8 parenthetical -- I don't have it in front of me -- and in
9 related terminal services. So it is implicitly, and
10 defined in the regulations.

11 CHAIRMAN MAFFEI: Yeah. I mean, Plaquemine I did
12 find that it involved a degree of its involvement in
13 furnishing of terminal services to common carriers.

14 MR. SHERIDAN: Yes.

15 CHAIRMAN MAFFEI: So that's part of Plaquemine.

16 MR. SHERIDAN: Yes. And I mean, I suppose that
17 the Commission has made the decision that a stevedore who
18 the carrier has no contractual relationship with is not
19 really -- is really -- has no license to operate
20 exclusively, is simply hired to come on and do services
21 hidden behind the scenes of the terminal operator. Perhaps
22 that's not a terminal operator. But this is somebody who
23 has a specific contractual relationship directly with the
24 carriers. And that's not -- the Port Authority has no role
25 in that contractual relationship.

1 I do -- let me see. In that regard, I do --
2 would like you to take a look at the rate sheets that were
3 produced by the joint ventures there at the -- our appendix
4 at 250 to 253 and 562 to 563. And there was also some
5 flowcharts that -- these are both things that the --

6 CHAIRMAN MAFFEI: You don't need us to literally
7 take a look at this moment?

8 MR. SHERIDAN: Oh, no. No. I just want to read
9 it into the record. I'm sorry. Yeah. The flowcharts were
10 something that was produced by the individual Respondents
11 when they first were submitting their position -- or their
12 request that they be considered under the jurisdiction.
13 And the flowchart shows how integrated the operation is in
14 certain points and times. The proposed stevedore would
15 take the lead in actually directing the Port Authority how
16 to handle the cargo. Other points in times, the Port
17 Authority takes the lead. But it shows the --

18 COMMISSIONER DYE: Mr. Sheridan, are these
19 authorities in the license that you're quoting?

20 MR. SHERIDAN: The license I'm quoting?

21 COMMISSIONER DYE: No, that you are -- you are
22 describing.

23 MR. SHERIDAN: The authority is -- okay. The
24 flowchart is is not in the license. It was something that
25 was for a proposal. And it's at Respondent's Appendix 540

1 to 541. So it's not specifically described in the license.
2 It is consistent with the affidavits that we produced that
3 showed that, at certain points in time in the operation of
4 the terminal, the stevedore -- or the Stevedoring
5 company -- or if the Marine terminal -- but the private
6 entity directs the employees even of the Port Authority as
7 to how to handle the cargo. And so it's an integrated
8 operation. It's a cooperative operation. There are
9 cooperative terminals.

10 COMMISSIONER DYE: And this authority is where?

11 MR. SHERIDAN: Which authority -- the flowcharts
12 I'm talking about or the affidavits?

13 COMMISSIONER DYE: No. No. That you just
14 described about the authorities.

15 MR. SHERIDAN: The authority I described was the
16 affidavits from my (indiscernible), the individuals who
17 actually -- I represent the ILA. These are just workers,
18 but they -- firsthand knowledge of how things operate.
19 Okay.

20 COMMISSIONER DYE: All right. Thank you.

21 MR. SHERIDAN: Yes.

22 CHAIRMAN MAFFEI: So so you're not arguing that
23 the State port authorities are not MTO's --

24 MR. SHERIDAN: No. By no means.

25 CHAIRMAN MAFFEI: -- just that they -- could you

1 characterize it -- do they -- would they share -- I mean,
2 what -- how would you characterize --

3 MR. SHERIDAN: I'm not sure if anything needs to
4 be shared. I do think that we should examine whether, in
5 addition to having jurisdiction over the State port
6 authorities, because of the facts on the ground, because of
7 the ability to control areas of the terminal, and
8 specifically control access to the terminal based upon
9 actually charging fees and actually physical control over
10 the gates, that this is something that has a discernible
11 effect on the relationship between the shipper and the
12 carrier. That's in the Act too.

13 And this is something that was in the
14 jurisdiction of this Commission, unlike would be more of a
15 stretch, a state government agency that is imposing
16 essentially a tax on the cargo, which -- that's the
17 Plaquemines case. If a state government agency charging a
18 fee when it has -- does not control or own or operate any
19 terminal, if that makes it a marine terminal operator, then
20 a private entity that is assisting in the operation of the
21 terminal and charging fees directly to the carriers is over
22 into the jurisdiction of the Commission.

23 CHAIRMAN MAFFEI: You have a question?

24 MR. SHERIDAN: Sure.

25 COMMISSIONER SOLA: Mr. Sheridan, thank you for

1 coming here today.

2 MR. SHERIDAN: Thank you.

3 COMMISSIONER SOLA: As you're talking about the
4 fees, the one thing that, when I read this case, that I was
5 looking for in part of the discovery was the invoices, who
6 is invoicing who and for what. Did you provide -- or do
7 you have any of those that you provided into the case or --

8 MR. SHERIDAN: Well, that's one of the things
9 that we asked for in discovery --

10 COMMISSIONER SOLA: Okay.

11 MR. SHERIDAN: -- and, Mr. Sola, and, I mean, the
12 the licensing agreement gives the joint ventures in both
13 port the exclusive authority to contract and negotiate fees
14 for both gate and Stevedoring, and to invoice the carriers
15 directly without going through the Port Authority. So we
16 know that they have that exclusive authority. We haven't
17 seen those invoices. We haven't seen any attempts to
18 collect on those invoices.

19 COMMISSIONER SOLA: Okay. Because one of my
20 colleagues actually, I think, brought up detention and
21 demurrage. Do you know if they're charging for that and
22 other companies --

23 MR. SHERIDAN: I believe --

24 COMMISSIONER SOLA: -- which are 100 percent
25 within the Commission's jurisdiction?

1 MR. SHERIDAN: Yeah, I understand. I believe
2 there was an affidavit that they don't charge for
3 demurrage.

4 COMMISSIONER SOLA: Okay.

5 MR. SHERIDAN: They were trying to argue that
6 they did not charge for demurrage, and therefore, that they
7 shouldn't be -- yeah --

8 COMMISSIONER SOLA: I understand.

9 MR. SHERIDAN: -- a terminal operator. If you
10 look at the flowchart -- and I don't want to go too far
11 over, but the -- and it's consistent with the affidavits --
12 the private entities take the lead with Stevedoring and
13 removing into the yard. They cooperate with the Port
14 Authority on the yard operations, and they take the lead
15 with the gate and -- or -- and basically are exclusively
16 providing the gate service. And they charge a fee for
17 Stevedoring on one end and a fee for the gate operations on
18 the other end. And that's a direct feed that they
19 negotiate with the carriers. So that's sufficient.

20 COMMISSIONER DYE: Mr. Sheridan, I just have one
21 more question.

22 MR. SHERIDAN: Sure.

23 COMMISSIONER DYE: What is the ILA's interest in
24 this matter?

25 MR. SHERIDAN: The ILA's interest in this matter?

1 At the time, we wanted to bring this action based upon the
2 labor relations thing that was brought up. And we survived
3 the motion to dismiss. The joint venture had particular
4 bad consequences for some of the labor relations that prior
5 to the joint venture that all had contracts with three
6 different entities. And after that, the entities tried to
7 impose a uniform sort of lowest common denominator on
8 various terms and conditions of employment. I do submit
9 that if -- that the jurisdiction is a preliminary issue. I
10 mean, everybody would agree that if there's -- the merits
11 of the case cannot be addressed unless there is actually
12 jurisdiction over the parties.

13 COMMISSIONER DYE: You're aware that the
14 Commission cannot become involved in labor negotiations?

15 MR. SHERIDAN: Yeah. I agree. But the entities
16 merging without the Commission's input was something that
17 the ILA was concerned about.

18 COMMISSIONER DYE: Why was that?

19 MR. SHERIDAN: What?

20 COMMISSIONER DYE: I'm sorry. Why was that?

21 MR. SHERIDAN: Because the ILA -- the mergers
22 affected the terms and conditions of employment.

23 COMMISSIONER DYE: The negotiations?

24 MR. SHERIDAN: Well, not negotiations
25 particularly, but the terms and conditions of employment

1 that -- the actual day-to-day operations of the employment,
2 yes.

3 CHAIRMAN MAFFEI: It affects what the workers do?

4 MR. SHERIDAN: Yeah. It affects a whole myriad
5 of items. Yeah, I mean, I -- it affects grievance
6 procedure. It affects some --

7 CHAIRMAN MAFFEI: Do you affect, like, what
8 services they actually perform or is that not --

9 MR. SHERIDAN: Honestly, I'm not prepared to
10 speak on all the details of that --

11 CHAIRMAN MAFFEI: No, and it's --

12 MR. SHERIDAN: Yeah.

13 CHAIRMAN MAFFEI: And I'm only interested to the
14 extent that it would address the jurisdictional question,
15 so. Let me --

16 COMMISSIONER VEKICH: So Mr. Sheridan, planning,
17 checking, Stevedoring is all -- all that's operations. And
18 as I understand that model in Charleston that -- and
19 there's -- some of that is intermixed with -- public
20 employees do some of that as well as ILA employees do other
21 aspects. So they're interchanged, and the same cargo could
22 be handled by a State employee and by -- in the course of
23 the supply chain, taken off, perhaps by a crane operator,
24 perhaps a State of -- State of South Carolina employee, and
25 then put on a chassis driven by an ILA employee, planned in

1 the yard to go to a location by an ILA clerk, and then get
2 outgated by a clerk possibly from Charleston Stevedoring
3 Company. So there seems like -- there's a lot of
4 intertwining, and --

5 MR. SHERIDAN: I think that's fair.

6 COMMISSIONER VEKICH: -- and that's all
7 operations. That has nothing to do with labor relations.
8 That's moving cargo just from here to there.

9 MR. SHERIDAN: Yes. I mean, that's what we're
10 discussing --

11 COMMISSIONER VEKICH: So I thought -- okay.

12 MR. SHERIDAN: -- because, again, the
13 jurisdictional issue is the preliminary issue here. And
14 that's what the jurisdictional focus on. I mean, neither
15 here nor there, but the Commission has an interest in
16 ruling on its own jurisdiction regardless of the merits it
17 may espouse -- yeah.

18 COMMISSIONER VEKICH: Well --

19 COMMISSIONER DYE: I just want to clarify one
20 point. So there are no upcoming labor negotiations that
21 would involve this decision?

22 MR. SHERIDAN: No. I don't see how this is going
23 to be involved in any upcoming labor negotiations.

24 COMMISSIONER VEKICH: So I just wanted to --
25 Commissioner Dye, you cut me off before -- I wanted to get

1 my point about the incentivizing cargo movement, which
2 was -- you're the mother of that phrase. And so I just
3 wanted to give you due credit to you. Thank you.
4 Incentivizing cargo movements is what the agency is
5 supposed to be all about. So -- all right.

6 CHAIRMAN MAFFEI: Yes. I need to get my point
7 across, which is to just thank Mr. Sheridan. Thank you
8 again. Thank you and your team. I want to thank Mr.
9 Thomas, again, and his team. I do want to do a special
10 thanks in the record to the Surface Transportation Board
11 because they -- Chairman Primus and the board members have
12 graciously made this -- their room available to us to do
13 these things while our room is being renovated. And with
14 that, again, I thank the staff at the FMC, and I, again,
15 thank the two parties.

16 This concludes the oral argument today. The
17 Commission stands adjourned.

18 (At 2:22 p.m., the proceedings concluded.)
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CERTIFICATE OF NOTARY

I, DEIDRA DELISSER, Notary Public, before whom the foregoing testimony was taken, do hereby certify that the witness was duly sworn by me; that said testimony is a true record of the testimony given by said witness; that I am neither counsel for, related to, nor employed by any of the parties to this action, nor financially or otherwise interested in the outcome of the action; and that the testimony was reduced to typewriting by me or under my direction.

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